₹100 and the concentration of share capital was sought to be made unattractive. The role of the shareholders was limited to serving as electoral colleges and they could not directly influence the management of the affairs of the bank.

The Governor and Deputy Governor were to be appointed by the Governor General in Council on the recommendations of the Central Board of Directors. The government was represented on the Board by a nominated official; apart from this the Governor General in Council could nominate four Directors. The Governor General also had the power to sack the Governor, Deputy Governor, and any of the nominated or elected Directors.[3] But in the case of nominated or elected Directors, this could only be done provided not less than nine Directors passed a resolution to this effect.[4] The Governor General also had a more sweeping power: he could supersede the entire Central Board if in his opinion the situation warranted such action.

Sir C.D. Deshmukh commenting on the delay in the formation of the RBI observed that had the RBI come into existence earlier, India might have been spared action by the government in the field of currency and exchange which injured India's interests. Deshmukh was referring to the disastrous attempt to maintain the 2s ratio which he said was the last minute brainwave of the India Office which once it was accepted was 'rammed through with the wooden obstinacy and maladroitness often exhibited by that Office.' He said that it was not so well known that Sir Malcolm Hailey, the then Finance Member, was bitterly opposed to the idea but being circumscribed by the policies decreed by Whitehall, had no choice but to defend it. Deshmukh said that the exchange fiasco however was productive of two good results: first, the amalgamation of the Presidency Banks into the Imperial Bank, and second, the expansion of the Currency Department by creation of the Deputy Controllers of Currency Department for Bombay and Northern India.[5]

'White and Sensible'

We have already seen how the India Office delayed the formation of the RBI. However, even when its formation had become inevitable in the 1930s —a decade characterized by political agitation in India and of negotiated